SMID BREAKOUT SCANNER

MARKET CLOSE

October 14, 2026 | 04:43 PM ET

4 setups identified | 0 A-Grade | 2 B-Grade | 2 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (2)
	DAO	NRIX
	PRGO	MNSO

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	DAO	Youdao, Inc.	China EdTech AI	$19.50	+7.6%	$2.4B	28M	+30.2	100%	Stock hitting fresh 52
B	PRGO	Perrigo Company	Healthcare Staple	$15.95	+3.8%	$2.2B	138M	+48.1	72%	RS line breaking to ne
C	NRIX	Nurix Therapeuti	Biotech Protein D	$23.67	+7.0%	$2.6B	78M	-1.4	84%	Stock breaking out fro
C	MNSO	MINISO Group Hol	China Retail	$10.22	+3.0%	$3.0B	85M	-23.6	44%	

Not financial advice. For informational purposes only. Do your own due diligence.

DAO

Youdao, Inc.

$19.50

+7.62%

RS vs SPY: +30.2%

B STRONG SETUP

$2.4B Cap | 28M Float

Education & Training Services | Theme: China EdTech AI | 52W Hi: 100% | Base Tight: 6.13 | Vol: 1.99x | RS/SPY: +30.2% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS

Price	**$19.50**
Day Change	**+7.62%**
Mkt Cap	**$2.35B**
Float	**28M sh**
RS vs SPY	**+30.2%**
52W Hi Prox	**100%**
Base Tight	**6.13**
Vol vs Avg	**1.99x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Stock hitting fresh 52W high on vol surge, RS line confirming leadership breakout. Forward catalyst: November 19 earnings print with potential to show monetization progress on AI-powered learning tools and continued margin expansion in core dictionary/translation business.

BUSINESS & POSITION

Youdao is NetEase's education technology subsidiary, operating AI-powered learning devices, online courses, and the leading Chinese-English dictionary app with ~800M users. The company has pivoted toward hardware (learning tablets, translation pens) with embedded AI tutoring, capturing premium pricing in China's education recovery.

FACTOR & THEME

Direct exposure to China tech recovery and AI-enhanced education hardware theme. Regulatory tailwind as Beijing shifts from crackdown to cautious re-opening of education services. Small-cap China ADR with potential for reversal trade as U.S.-China tech relations stabilize.

BREAKOUT SIGNAL

Close above $19.50 (new 52W high) on vol >199% of 20d avg

INSTITUTIONAL

Volume 1.99x average on breakout to new 52W high suggests institutional re-rating underway. No insider buying data available (ADR structure limits Form 4 visibility). Small 27.5M float creates potential for sharp moves on incremental buying. China ADRs currently out-of-favor creates contrarian positioning opportunity.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

November 19 earnings (36 days out). No consensus data available for this thinly-covered ADR. Last several quarters showed revenue stabilization after regulatory impact, with gross margin improvement as hardware mix increases. Beat/miss history requires direct filings review.

KEY RISK

Thesis invalidates on close below $17.80 (prior resistance), or any sign of renewed Chinese regulatory pressure on education services at the November print. Wide base (6.13 ATR ratio) suggests prior consolidation was volatile, not institutional accumulation.

ANALYSIS

Strongest disconfirming evidence: base_tight of 6.13 is far too wide for VCP-quality setup, indicating choppy consolidation rather than controlled institutional build. RS line at new high and prox_52w at 100 are excellent, but the loose base and China ADR regulatory/liquidity discount prevent A-grade. Earnings 36 days out provides defined catalyst, but setup quality is B-tier. Conviction: Medium.

Signal: Close above $19.50 (new 52W high) on vol >199% of 20d a

Vol vs Avg: 1.99x

DAO - Technical Chart



PRGO

Perrigo Company plc

$15.95

+3.77%

RS vs SPY: +48.1%

B STRONG SETUP

$2.2B Cap | 138M Float

Drug Manufacturers - Specialty & Generic | Theme: Healthcare Staples | 52W Hi: 72% | Base Tight: 2.77 | Vol: 1.59x | RS/SPY: +48.1% | Above 20MA: YES | EARNINGS IN

SETUP METRICS

Price	**$15.95**
Day Change	**+3.77%**
Mkt Cap	**$2.21B**
Float	**138M sh**
RS vs SPY	**+48.1%**
52W Hi Prox	**72%**
Base Tight	**2.77**
Vol vs Avg	**1.59x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line breaking to new high while stock advances +48% vs SPY over 12 weeks, driven by sector rotation into defensive Healthcare (+2.3% this week). Forward catalyst: November 4 earnings (21 days) with potential for store-brand pricing power and margin expansion guidance as consumers trade down amid economic uncertainty.

BUSINESS & POSITION

Perrigo is a leading manufacturer of store-brand over-the-counter pharmaceuticals and nutritional products for major retailers (Walmart, CVS, Amazon). The company benefits from secular shift to private-label as consumers seek value, while recently divesting Rx businesses to focus on higher-margin consumer health categories.

FACTOR & THEME

Healthcare sector leadership (+2.3% vs SPY this week) provides tailwind. Consumer trade-down theme accelerating as macro uncertainty rises-store-brand OTC and vitamins are classic recession-resistant categories. Potential GLP-1 adjacency as weight-loss drug adoption drives vitamin/supplement demand.

BREAKOUT SIGNAL

Close above $15.95 on vol >159% of 20d avg

INSTITUTIONAL

RS line at new high with +48% 12-week outperformance signals institutional accumulation despite only 1.59x volume. No insider buying in last 60 days, but large 138M float requires sustained institutional flow rather than single-day surges. Healthcare sector in-favor positioning suggests fund rotation into defensive growth continues.

EARNINGS

EARNINGS IN 21D

EARNINGS CONTEXT

November 4 earnings, 21 days out. Consensus data not provided. Perrigo has historically been a steady but unexciting performer; recent RS strength suggests either margin inflection or M&A speculation. Prior quarters showed organic growth acceleration in consumer self-care portfolio after divestitures cleaned up the story.

KEY RISK

Thesis invalidates on close below $15.20 (approximate 20MA support), or if November 4 earnings show retailer pricing pressure eroding gross margins. At 72.4% of 52W high, still ~28% below prior peak-must confirm this is new uptrend, not bear-market bounce. Wider base (2.77) means less institutional control.

ANALYSIS

Strongest disconfirming evidence: prox_52w at only 72.4 means stock is still well off highs, and volume at 1.59x is barely above threshold-this could be early-stage accumulation or a head-fake. RS line new high is compelling, and Healthcare sector leadership provides macro tailwind, but base quality (2.77) and distance from highs keep this B-grade. Earnings in 21 days is well-timed catalyst. Conviction: Medium.

Signal: Close above $15.95 on vol >159% of 20d avg

Vol vs Avg: 1.59x

PRGO - Technical Chart

